13. Income Taxes

Income tax expense consisted of the following:

(in thousands)	Fiscal Year Ended March 26, 2022	March 27, 2021	March 28, 2020
Current:			
Federal	$ 43,883	$ 12,761	$ 7,619
State	11,358	2,912	2,150
Foreign	—	—	—
Total current	55,241	15,673	9,769
Deferred:			
Federal	3,942	1,614	3,149
State	960	577	(554)
Foreign	—	—	—
Total deferred	4,902	2,191	2,595
Total income tax expense	$ 60,143	$ 17,864	$ 12,364

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The reconciliation between the Company's effective tax rate on income from operations and the statutory tax rate is as follows:

	Fiscal Year Ended March 26, 2022	March 27, 2021	March 28, 2020
Expected provision at statutory U.S. federal tax rate	21.0 %	21.0 %	21.0 %
State and local income taxes, net of federal tax benefit	4.0	4.1	3.6
Permanent items	—	0.1	0.2
Excess tax benefit of stock-based compensation	(2.9)	(3.5)	(3.5)
IRC Section 162(M)	1.7	1.9	0.9
Valuation allowance	—	—	(0.7)
Other	—	(0.4)	(1.0)
Effective tax rate	23.8 %	23.2 %	20.5 %

Differences between the effective tax rate and the statutory rate relate primarily to excess tax benefits due to income tax accounting for share-based compensation, IRC Section 162(M) and state taxes.

Deferred taxes reflect the net tax effects of the temporary differences between the carrying amount of assets and liabilities for financial reporting and the amount used for income tax purposes. Significant components of the Company's net deferred tax liabilities as of March 26, 2022 and March 27, 2021 consisted of the following (in thousands):

	March 26 2022	March 27, 2021
Deferred tax assets:		
State taxes	$ 1,189	$ 327
Accrued liabilities	1,660	2,393
Award program liabilities	377	265
Deferred revenue	1,608	1,548
Inventory	6,053	4,319
Stock options	1,831	1,711
Net operating loss carryforward	—	748
Long-term lease liabilities	58,775	45,499
Other, net	2,747	1,516
Total deferred tax assets	74,240	58,326
Deferred tax liabilities:		
Depreciation and amortization	(41,393)	(34,752)
Prepaid expenses	(709)	(401)
Right-of-use assets	(59,033)	(45,166)
Total deferred tax liabilities	(101,135)	(80,319)
Valuation allowance	—	—
Net deferred tax liabilities	$ (26,895)	$ (21,993)

As of March 26, 2022, the Company had no net operating loss carryforwards for federal and state tax purposes.

Valuation allowances are established, when necessary, to reduce deferred income tax assets to the amounts expected to be realized. To this end, the Company has considered and evaluated its sources of taxable income, including forecasted future taxable income, and the Company has concluded that a valuation allowance is not necessary as of March 26, 2022.

The Company applies ASC 740, which contains a two-step approach to recognizing and measuring uncertain tax positions. The first step is to evaluate the tax position for recognition by determining if the weight of available evidence indicates it is more likely than not that the position will be sustained on audit, including resolution of related appeals or litigation processes, if any. The second step is to measure the tax benefit as the largest amount that is more

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than 50% likely of being realized upon ultimate settlement. The Company considers many factors when evaluating and estimating its tax positions and tax benefits, which may require periodic adjustments. At March 26, 2022 and March 27, 2021, no material amounts were recorded for any uncertain tax positions.

The Company’s policy is to recognize interest and penalties accrued on any unrecognized tax benefits as a component of income tax expense. To the extent that accrued interest and penalties do not ultimately become payable, amounts accrued will be reduced and reflected as a reduction of the overall income tax provision in the period that such determination is made. The Company does not have any accrued interest or penalties associated with any unrecognized tax benefits as of March 26, 2022 and March 27, 2021.

The Company does not anticipate a significant change in its uncertain tax benefits over the next 12 months.

The major jurisdictions in which the Company files income tax returns include the U.S. federal jurisdiction, as well as various state jurisdictions within the U.S. The Company’s fiscal years 2017 through 2021 returns are subject to examination by the U.S. federal and various state tax authorities.